

Question 1 of 8

Question ID: 1575097

Suppose there is an investment available to you with an expected return of 6% and a standard deviation (risk) of 10%. Suppose further that your risk aversion coefficient is 2. The minimum risk-free guaranteed return you require to get the same utility as the risky investment is *closest* to:

☐ A) 1%.

☐ B) 3%.

☐ C) 5%.

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Question ID: 1575098

Portfolios that plot inside the minimum-variance frontier represent:

☐ **A)** efficient portfolios.

☐ **B)** inefficient portfolios.

☐ **C)** unattainable portfolios.

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Question ID: 1575099

An analyst has estimated that the returns for an asset, conditional on the performance of the overall economy, are:

Return	Probability	Economic Growth
5%	20%	Poor
10%	40%	Average
14%	40%	Good

The conditional expected returns on the market portfolio are:

Return	Probability	Economic Growth
2%	20%	Poor
10%	40%	Average
15%	40%	Good

According to the CAPM, if the risk-free rate is 5% and the risky asset has a beta of 1.1, with respect to the market portfolio, the analyst should:

- ☐ **A)** sell (or sell short) the risky asset because its expected return is less than equilibrium expected return on the market portfolio.
- ☐ **B)** buy the risky asset because the analyst expects the return on it to be higher than its required return in equilibrium.
- ☐ **C)** sell (or sell short) the risky asset because its expected return is not sufficient to compensate for its systematic risk.

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Question ID: 1575100

A manager who evaluates portfolios' investment performance adjusted for systematic risk is *most likely* to rank portfolios based on their:

- ☐ **A)** Sharpe ratios.
- ☐ **B)** Treynor measures.
- ☐ **C)** M-squared measures.

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Question ID: 1575101

Which of the following activities is *most likely* to be performed as part of the execution step of the portfolio management process?

- ☐ **A)** Completion of the investment policy statement.
- ☐ **B)** Top-down analysis based on macroeconomic conditions.
- ☐ **C)** Rebalancing the portfolio to the desired asset class exposures.

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Question ID: 1575102

A written investment policy statement should *most appropriately*:

- ☐ **A)** establish a target asset allocation strategy.
- ☐ **B)** focus predominantly on a long-term time horizon.
- ☐ **C)** include risk objectives that are consistent with the investor's return requirements.

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Question ID: 1575103

An analyst is *most likely* to be exhibiting availability bias when he:

- ☐ **A)** estimates the probability of an outcome based on how easily information is recalled.
- ☐ **B)** values an asset more when he owns it than when he does not own it.
- ☐ **C)** relies on an initial piece of information to make subsequent estimates, judgments, and decisions.

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Question ID: 1575104

Which of the following risk management strategies is *most accurately* described as shifting a risk?

- ☐ **A)** A retail store owner buys a fire insurance policy on the building.
- ☐ **B)** A farmer takes a short position in a futures contract to deliver wheat.
- ☐ **C)** A portfolio manager diversifies her investments across different industries.